HEDGE FUND INVESTMENT FEATURES

Learning Outcome

- explain investment features of hedge funds and contrast them with other asset classes

As private investment vehicles, hedge funds are distinguished by their investment approach rather than the underlying investments. Hedge funds combine traditional debt and equity instruments with leverage, derivatives, short selling, and other strategies to generate and enhance their returns. The objective of a hedge fund is to generate high returns, either in an absolute sense or on a risk-adjusted basis relative to its portfolio-level volatility. The strategies hedge funds use can make benchmarking their performance relative to traditional index performance benchmarks difficult. Thus, many hedge funds evaluate their performance using an absolute return standard instead of tracking a benchmark. Hedge funds are attractive for their diversification effects because their returns typically demonstrate low correlation with traditional asset investing.

Hedge funds normally apply common principles that seemingly increase portfolio risk, such as borrowing money to invest, using leverage (derivatives), and short selling. On their own, they do not hedge risky positions against a market move; on the contrary, they seem to amplify the risks. It may seem like the name *hedge funds* is a misnomer. However, the investment strategy splits a portfolio such that each component helps hedge the risks from the other. Thus, by internally neutralizing market risk and by managing the portfolio components, the hedge fund manager can obtain enhanced risk-adjusted returns.

While mutual funds and hedge funds seem similar, in that they both invest clients' money to achieve a better risk/reward profile, there are some major differences. Mutual funds managers are paid a fixed compensation and may not necessarily invest in the funds they manage. Hedge fund managers are paid a performance-based fee, and many require the managers to invest in the hedge fund. Some hedge funds incorporate a high-water mark, in which the manager will get a performance fee only when the returns exceed the previous highest value of the fund.

Normally, hedge fund managers have a great deal of freedom to make trading decisions and to decide how to allocate client funds. Mutual funds are highly regulated since they are available to public investors. Hedge funds are available only to institutional and accredited investors.

Hedge funds are different from other fund types, such as mutual funds, ETFs, bond funds, and REITs, in that a hedge fund is privately owned. And unlike many of these funds, hedge funds are lightly regulated. They are different from private equity funds, in that hedge funds typically have a shorter time horizon and invest in more liquid asset classes.

Hedge funds select investments from one or more asset classes (equities, credit, fixed income, commodities, futures, foreign exchange, loans, and sometimes even hard assets, such as real estate). Some hedge funds implement strategies focused on one specific asset class, while others combine multiple asset classes. Hedge funds can also be geographically focused or agnostic and implement their strategies across different geographic regions.

Leverage—through short selling, borrowing, or derivatives and occasionally combining all three—is often used by hedge funds to enhance returns. Since leverage is often a core component of the strategy, hedge funds continuously need to monitor the value of their exposures. This is particularly important when a hedge fund takes both long and short positions (when possible) solely using derivatives.

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- equity hedge funds,
- event-driven hedge funds,
- relative value hedge funds,
- opportunistic hedge funds, and
- multi-manager hedge funds.

Many hedge funds trade sovereign and corporate debt, commodities, futures contracts, options, derivatives, and even real estate investments. However, not all hedge funds maintain short positions or use leverage. Instead, many simply exploit niche areas of expertise in a sophisticated manner; hedging and leverage may or may not be involved. Finally, there are funds of hedge funds that create a diversified portfolio of hedge funds. These vehicles are attractive to smaller investors without the resources to select individual hedge funds and build a portfolio of them.

Hedge fund categorization allows investors to review aggregate performance data, select strategies with which to build a portfolio of funds, and select or construct appropriate performance benchmarks. Exhibit 1 shows examples of the five broad strategy hedge fund categories mentioned above.

Exhibit 1:

Hedge Fund Strategies

Equity	Event Driven	Relative Value	Opportunistic	Multi-Manager
Long/Short Equity	Merger Arbitrage	Convertible Bond Arbitrage	Global Macro	Fund of Funds
Short Biased	Distressed	Fixed-Income Arbitrage	Managed Futures	
Market Neutral	Special Situations	Multi-Strategy		
	Activist			

Equity Hedge Fund Strategies

Hedging long positions through short selling can be considered the original hedge fund category. Long/short equity funds focus on public equity markets and take long and short positions in equity and equity derivative securities. Most equity hedge strategies use a “bottom-up” security-specific approach—company-level analysis, followed by overall industry analysis, followed by overall market analysis—with relatively balanced long and short exposures. A contrasting “top-down” approach entails global macro analysis, followed by sector/regional analysis, followed by individual company analysis or any market-timing approach. Some equity long/short strategies may use index-based short hedges to reduce market risk or single-name shorts for portfolio alpha and added absolute return. The following are examples of equity hedge strategies.

- **Fundamental long/short**: In this strategy, the hedge fund takes long positions in companies that are trading at inexpensive levels compared to their potential intrinsic value and shorts those that trade in the other direction, with the intention of reversing this trade to obtain alpha.

  In all cases, the strategy takes a long position in those securities (buys stocks or call options) whose valuations are underestimated/undervalued by the market or have a potential for growth that the market has not yet identified. The strategy also concurrently shorts stocks or an index to reduce the risk. The manager typically maintains a net long exposure but may adjust the amount of net market risk depending on his or her market forecast.

- **Fundamental growth**: These strategies use fundamental analysis to identify companies expected to exhibit high growth and capital appreciation. The hedge fund will take a long position in these stocks. The fund will short companies with business models that are under downward pressure and expected to exhibit low or negative growth and suffer capital depreciation. Effectively, the spread between growth and value expectations drives the investment strategy and portfolio performance. Most of these portfolios tend to end up long biased; hence, they may not be market neutral and their returns may exhibit a non-zero beta.
- **Fundamental value**: These strategies use fundamental analysis to identify undervalued and unloved companies for which there is the possibility that a corporate turnaround, with future revenue and cash flow growth, will result in higher valuations. The hedge fund takes long positions in these companies to capture expected future stock price rises. Effectively, it is the spread between value and growth expectations that drives portfolio performance.
- **Short biased**: These strategies use quantitative, technical, and fundamental analysis to short the overvalued equity securities with limited or no long-side exposures. Managers are often forensic in their fundamental analysis and sometimes try to expose previously unrecognized accounting or business flaws. The expectation is that company share price will fall and thus improve the profitability of the fund's portfolio. These funds vary their short exposure over time. Short-biased managers tend to be contrarian; they are shorting shares in otherwise successful companies. These funds can be useful additions to larger portfolios during periods of market stress. Short-biased managers, however, have had a difficult time overall posting meaningful long-term returns during the past 30 years of generally positive market conditions.
- **Market neutral**: These strategies use quantitative, fundamental, and technical analysis to identify under- and overvalued equity securities. The hedge fund takes long positions in undervalued securities and short positions in overvalued securities, while seeking to maintain a market-neutral net position. Ideally, the manager achieves an overall beta relative to the market close to zero.

  The intent is to profit from the movements of individual securities, undervalued ones rising and overvalued ones falling, while avoiding movements in the overall market. To achieve a meaningful return, market-neutral portfolios may require the application of leverage. These portfolios generally seek stable, single-digit returns that are independent of the market (market neutral), but because leverage is used to amplify the returns, these funds may experience higher risk during periods of unexpected volatility unless they reduce their leverage.

EXAMPLE 1

Tenderledge Investments LLC—Equity Strategies

Tenderledge Investments, a fund-of-funds hedge fund, is benchmarking the performance of various equity strategies as measured by monthly hedge fund returns over a 10-year period, shown in the following tables.

Equity Strategies: Monthly Returns	Market Index	Fundamental Value	Market Neutral	Fundamental Growth	Short Bias
Average	0.30%	0.03%	−0.04%	0.03%	−0.5%
Standard deviation	2.0%	1.0%	0.5%	1.5%	2.3%
Coefficient of variation	14.8%	2.6%	−7.4%	1.9%	−20.1%
Max.	5.2%	2.2%	1.0%	3.5%	7.2%
Min.	−8.1%	−4.0%	−2.7%	−10.4%	−11.3%

Monthly Returns	Index	Value	Neutral	Growth	Bias
Market Index	1.00				
Fundamental Value	0.80	1.00			
Market Neutral	0.22	0.24	1.00		
Fundamental Growth	0.67	0.64	0.38	1.00	
Short Bias	−0.72	−0.53	−0.23	−0.60	1.00

The market index, measured by the S&P 500 Index, outperformed each strategy both in absolute terms as measured by the average monthly returns and in relative terms as measured by the coefficient of variation of returns. Moreover, analyzing the correlations between these strategies shows that fundamental value and growth have exhibited high correlation with the market index.

Market-neutral funds have the lowest positive correlation with the market index, reflecting the fact that these strategies intend to generate returns without taking on market-level exposure. As expected, the short-bias funds have a negative correlation with the other strategies. Note that over short time frames, short-bias strategies are negatively correlated with the market index–based strategies. However, in the long term, similar correlations may not hold.

Event-Driven Strategies

These bottom-up strategies seek to profit from defined events that are expected to change valuations, typically involving changes in corporate structure, such as an acquisition or restructuring. Event-driven strategies may include long and short positions in common and preferred stocks, debt securities, and options. Further subdivisions of this category by Hedge Fund Research (HFR) include the following:

- **Merger arbitrage**: Generally, these strategies involve going long (buying) the stock of the company being acquired at a discount to its announced takeover price and going short (selling) the stock of the acquiring company when the merger or acquisition is announced. The manager may expect to profit once this initial deal spread (the price between the buyer and the object of the acquisition) narrows to the closing value of the transaction after it is fully consummated. This spread exists because of timing and uncertainty over the closure of the deal due to legal and regulatory hurdles, or the acquirer may decide to step away. Shorting the acquirer is also a way to express the risk of merger overpayment. The primary risk in merger arbitrage is that the announced combination fails to occur and the value of the fund holdings are negatively impacted before it can unwind its position. Since the expected risk and return on a merger arbitrage strategy stems from the modest spread in prices, leverage is regularly used to amplify returns but also increases losses when the strategy fails.
- **Distressed/restructuring**: These strategies focus on securities of companies either in or perceived to be near bankruptcy. In one approach, hedge funds simply purchase fixed-income securities trading at a significant discount to par but that are still senior enough to be backed by sufficient corporate assets. The expectation is that these securities should be valued at par or at least at a significant premium to the current bond purchase price in a bankruptcy reorganization or liquidation. Alternatively, a fund may purchase a debt instrument that is expected to be converted into new equity upon restructuring or bankruptcy, typically called a *fulcrum* security, and then either hold onto the equity or exit.
- **Special situations**: These strategies focus on opportunities to buy equity of companies engaged in security issuance or repurchase, special capital distributions, rescue finance, asset sales/spin-offs, or other catalyst-oriented situations.
- **Activist**: The term “activist” is short for “activist shareholder.” Here, managers secure sufficient equity holdings to allow them to seek a position on the company board and influence corporate policies or direction. They seek to create business changes that move the investment towards a desired outcome. For example, an activist hedge fund

hedge funds are distinct from private equity because they operate primarily in the public equity market.

Event-driven strategies tend to be long biased, with merger arbitrage having the least bias; the time to complete a merger transaction typically takes somewhere between 6 and 24 months, while a bankruptcy or a reorganization can take years to complete.

EXAMPLE 2

Activism of Carl Icahn and Hertz

Carl Icahn, an activist hedge fund manager, has been financially successful in several cases where he took a controlling interest in companies to direct their operations for an increase in enterprise value. Hertz, a car rental company, is an interesting example. In 2014, Icahn started investing in Hertz and in 2020 held more than 55 million, or 39%, of its common shares. During May 2020, Hertz sought bankruptcy protection because of the impact of COVID-19 and the collapse of the global travel industry. Before Hertz filed for bankruptcy protection, Icahn's holdings were worth around USD2.3 billion. After Hertz filed, he sold his shares at a loss of USD2 billion, even though he acquired 11 million shares only a few weeks earlier.

Originally, Icahn acquired his stake in Hertz starting in 2014 based on his notion that Hertz had a strong brand and operational foundation but was lacking discipline and management. And Icahn accumulated a more than USD1.1 billion position in the company by the end of that year. When Icahn entered Hertz, the company was emerging from years of operational, strategic, and financial problems that eroded its financial strength. Icahn put new board members and a new management in place, which in the ensuing years instilled fiscal and operational discipline. The company restated previous years' earnings, finished the integration of various enterprise-wide systems, and secured a qualified management team. At the same time, the car rental industry was impacted by two strategic shifts: One was the increased preference for SUVs, and the other was the emergence of ride-hailing apps. While the company showed higher revenue and increasingly consistent profits, the cost of restoring the company eroded its financial and liquidity position. After Hertz came out of bankruptcy proceedings in July 2021, Icahn has been closely following the company.

Relative Value Strategies

Relative value strategies seek to profit from a pricing discrepancy between related securities based on an unusual short-term relationship. The expectation is the short-term discrepancy will be resolved over time. Examples of relative value strategies include the following:

- *Convertible bond arbitrage.* This conceptually market-neutral investment strategy seeks to exploit a perceived mispricing between a convertible bond and its component parts: the underlying bond and the embedded call option. There may be relative mispricing between equity and the convertible bond. The strategy typically involves buying convertible debt securities and simultaneously selling a certain amount of the same issuer's common stock based on the delta of the embedded call option. This strategy can be sensitive to bankruptcy risks; however, they may be hedged away using either equity put options or credit default swap derivatives on the issuer.
- *Fixed income (general).* These strategies focus on the relative value within the fixed-income markets, with an emphasis on sovereign debt (relative value rates) and sometimes the relative pricing of investment-grade corporate debt (relative value credit). Strategies may incorporate long–short trades between two different issuers, between corporate and government issuers, between different parts of the same issuer's capital structure, or between different parts of an issuer's yield curve. Here,

- *Fixed income (asset backed, mortgage backed, and high yield).* These strategies focus on the relative value of various higher-yielding securities, such as asset-backed securities, mortgage-backed securities, high-yield loans and bonds, and their derivatives. Hedge funds seek to generate an attractive and highly secured coupon return and to exploit relative security and quality mispricings.
- *Multi-strategy.* These strategies trade relative value within and across asset classes or instruments. Rather than focusing on one type of trade (e.g., convertible arbitrage), a single basis for a trade (e.g., merger arbitrage), or a particular asset class (e.g., fixed income), this strategy instead looks for any available investment opportunities, often with different pods of managers executing unique market approaches. The goal of a multi-strategy manager is to initially deploy (and later redeploy) capital efficiently and quickly across various strategy areas as conditions change.

Opportunistic Strategies

There are also funds that focus on macro events and commodity trading. These strategies may often use index ETF securities or derivatives in addition to individual securities.

- *Macro strategies* emphasize a top-down approach to identify economic trends. Trades are made on the basis of expected movements in economic variables. Generally, these funds trade opportunistically in fixed-income, equity, currency, and commodity markets. Macro hedge funds use long and short positions to profit from a view on overall market direction as it is influenced by major economic trends and events. Because these funds generally benefit most from periods of higher volatility, the active moves by national authorities, such as central banks, to smooth out economic shocks likely shrink their investment sphere.
- *Managed futures* funds are actively managed funds making diversified directional investments primarily in the futures markets on the basis of technical and fundamental strategies. Managed futures funds are also known as commodity trading advisers (CTAs) because they historically focused on commodity futures. However, CTAs may include investments in a variety of futures, including commodities, equities, fixed income, and foreign exchange. CTAs generally use models that measure trends and momentum over different time horizons. CTA investments can be useful for portfolio diversification, particularly in times of strong trending market conditions and especially during periods of extended market stress when other fundamental strategies may be expected to perform poorly. CTAs can be relied on to profit from having purchased short positions in falling markets. However, mean-reverting markets, which may cause false momentum breakout signals, can lead to extended drawdown periods before strong trends emerge for the CTA. To the extent that many CTAs have migrated to trade more and more financial products (such as stock index futures and bond futures), the reliability of CTA diversification benefits has diminished.

Commodity-focused managed futures funds are unique (versus global macro) because there is a constant price tension between suppliers and consumers: High prices cripple demand (tending to lower prices), and low prices shut in supply (and thus raise prices). This situation creates a unique balance absent in traditional stocks and bonds.

Distinguishing Characteristics of Hedge Fund Investments

The key characteristics distinguishing hedge funds and their strategies from traditional investments include the following:

1. Less legal and regulatory constraints
2. Flexible mandates permitting the use of shorting and derivatives
3. A larger investment universe on which to focus
4. Aggressive investment styles that allow concentrated positions in securities offering exposure to credit, volatility, and liquidity risk premiums
5. Relatively liberal use of leverage
6. Liquidity constraints that include lockups and liquidity gates
7. Relatively high fee structures involving management and incentive fees

characteristics generally differ from those of exchange-traded funds and mutual funds. The typical relative value hedge fund generates returns using a combination of long and short positions in equities, increases its asset base using borrowed funds, and implements opportunistic positions in special situations, seeking to earn very different risk–return profiles than those of common long-only funds.

Hedge funds are also subject to much lighter regulatory, compliance, and transparency requirements. With more flexibility in portfolio construction, hedge funds enjoy leeway to invest in situations in which time may be needed to generate an expected return and thus are unsuitable for a mutual fund offering daily liquidity. Investors in modern hedge funds are subject to extended holding periods (known as *lockup periods*) and subsequent *notice periods* before an investment redemption is possible. Some hedge funds partially limit fund redemptions through a liquidity gate provision so that assets can be liquidated over a longer time period. Compared to, for example, many mutual funds allowing easier redemption and guaranteed liquidity on one day's notice, such lengthy mandatory lockup and notice periods allow hedge funds more flexibility than mutual funds or other types of investments.

A redemption fee may be charged, typically payable to the fund itself (rather than the manager) to protect remaining investors in the fund, particularly in circumstances where the redemption takes place during the lockup period. This characteristic is called a *soft lockup*, and it offers a path (albeit an expensive one) to redeem early.

With reduced operating constraints, hedge funds may avail themselves of less liquid and unnoticed opportunities, the true valuation of which may at times be opaque. For instance, several hedge fund strategies—long/short, activist, distressed, and arbitrage—build on highly concentrated, long-term, leveraged holdings in equities, debt, and derivatives. Building up such an exposure may take a longer time to execute and unwinding such a position can be complex and quite time consuming, particularly when financial markets are under transitory stress. That is why restrictions on *redemptions* are typically imposed.

There is also reduced transparency for more complex hedge fund investments and asymmetric information between managers and investors. This leads to incentive-based performance fees to bridge the gap between the manager's and the investor's interests. Investors look to earn high returns, and sharing some proportion of these high returns with the managers incentivizes managers to perform in the interest of the shareholders. Hedge funds are generally deemed riskier from an oversight (fraud risk) point of view, but some hedge funds take less absolute market risk in their portfolio construction than is taken by registered products available to retail investors. A hedge fund's true market risk and its distinction between regulatory risk and illiquidity risk can thus often be confused.

Hedge funds generally utilize active management by experienced managers and an integrated risk management approach. A variety of strategies are possible, which makes each hedge fund uniquely different from others. They can be customized for a specific investor preference. They provide an ability to generate alpha and uncorrelated risk-adjusted returns. Some of the strategies also implement guardrails to insure against significant losses. Such attributes help an investor build a diversified portfolio that stabilizes market volatility within a multi-asset class portfolio.

Investors should consider several issues when choosing a hedge fund. Broadly, they should review the general partner capabilities, including their operational framework, risk management practices, and hands-on monitoring of portfolio performance. As for the GP performance, the investor should consider their fiduciary management guidelines, manager experience, and alignment of interests towards the fund's strategies.

There have been quite a few reported incidents of fraud in the hedge fund space, including setting up a fund as a Ponzi scheme and reporting false performance data. Some hedge funds had complex strategies that failed during market turmoil. The reduced regulatory oversight, along with the large investments that are typically required to participate in a

While evaluating the investment, the investor should take into account its strategy, transparency, liquidity, and reporting practices. In addition, the investor should thoroughly evaluate the fund manager's past performance and be aware of how the fund compensates the fund managers and calculates the fees charged to investors.

Question Set

1. Both hedge funds and private equity invest in equity stock of public or private enterprises, and there are many commonalities between them. The following statements are some of the commonalities, and one of these statements is false. Choose the *false* statement.

A. Both are structured as partnerships of investors with private pooling of funds and are primarily intended for high-net-worth individuals.
B. Both utilize leverage to invest in a variety of marketable securities.
C. Both are less liquid than mutual funds or ETFs.
D. Both are less regulated, and the transparency/reporting requirements are not strict.

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Solution:

B is false. Hedge funds normally invest in public securities (including debt, equity, and derivatives), while private equity funds invest directly in private operating companies, which are not marketable securities, nor do private equity firms apply leverage to their fund.

2. Both hedge funds and private equity invest in equity shares of public or private enterprises. However, there are many differences between them. The following statements lists some of their differences. Choose the statement that is *false*.

A. Private equity funds invest for the long term, while hedge funds invest in equities for the shorter term.
B. Typical hedge funds are transaction oriented; they make several offsetting trades. Private equity funds make stable, long-term investments in few companies.
C. An investor normally funds the hedge fund at the start of the investment, while private equity funds are committed at the start and funded over time, upon demand.
D. Private equity is redeemable on a periodic basis, while hedge funds require a longer-term commitment.

Hide Solution

Solution:

D is the correct answer choice because the statement is false. Hedge funds are redeemable on a periodic basis, and private equity funds require a longer-term commitment. The other statements are correct.

3. Hedge funds versus mutual funds: Choose the *false* statement.

A. Mutual funds are open to any investor and are generally more liquid instruments with minimal constraints on redemptions.
B. Hedge fund fees are typically negotiable by an investor, while mutual funds operate with the same fees for all investors.
C. Hedge funds are more restricted in what they can trade compared to mutual funds.

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transparency requirements. A and B are true statements.

4. How many of the following statements comparing hedge funds and ETFs are true?

1. ETFs are exchange-traded public securities, while hedge funds are private partnership funds.

2. Any investor can invest in an ETF, while specific restrictions apply to who can invest in a hedge fund.

3. ETFs have very low fees and expense ratios compared to hedge funds.

4. ETFs are highly regulated, with specific reporting requirements, while hedge funds are lightly regulated.

A. One of the statements is true.
B. Two of the statements are true.
C. Three of the statements are true.
D. Four of the statements are true.

Hide Solution

Solution:

D is correct. All the statements are true.

5. Select the statements that are true:

A. The primary drivers of returns from stocks are growth projections, dividends, and retained earnings.

B. The primary drivers of returns from a bond are interest rates, credit risk, and coupon payments.

C. The primary drivers of return from hedge funds are market volatility and market inefficiency.

Hide Solution

Solution:

A, B, and C are all true.

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MG

3 b. is also false... sort of. Not all mutual fund investors pay the same fees because there are multiple share classes and fee breakpoints.

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Does Private equity use leverage?

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